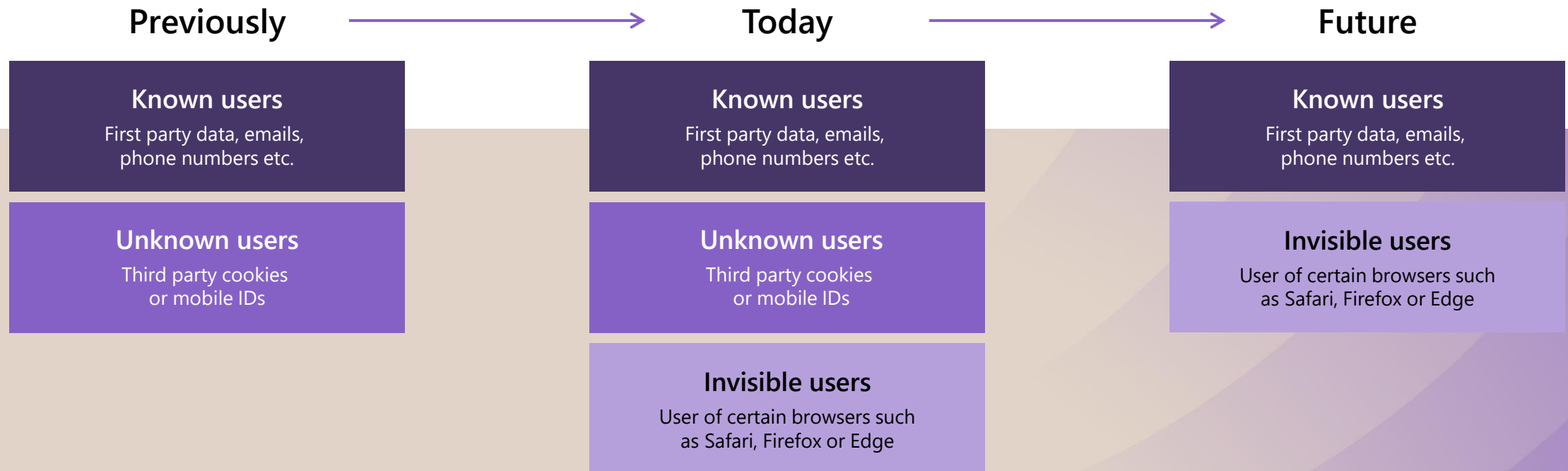


Audience targeting playbook

 Microsoft Advertising



Understanding customer behavior is becoming more challenging



Maximize ROI with audience targeting in a challenging economy

01

Drive better efficiencies

Improve the return on investment from your advertising efforts.

02

Find your ideal customers

Get your brand in front of the right audiences.

03

Increase customer lifetime value

Turn once off engagements into repeat purchases and increased customer loyalty.

04

Learn more about your customers

An audience strategy will give you a better understanding of your customers and their buying habits.

The combination for success

Fuel your first party data strategy,
with our first party data

YOUR DATA



Fuel your first party data strategy...

OUR DATA



...with our first party data...



A full suite of targeting tools helps you connect

MICROSOFT DATA

In-market audiences

LinkedIn profile targeting

Predictive targeting

Similar audiences*

Age and gender targeting

Device targeting

Location targeting



Combine Microsoft data with your first-party data to reach your ideal customer in a privacy compliant way

YOUR FIRST-PARTY DATA

Remarketing*

Dynamic remarketing*

Custom audiences

Customer match

*UET required

We bring the data...

WE BRING THE DATA...

Our audience intelligence connects you to an audience with intent

Billions of data points, combining 1st party data signals across Microsoft properties to identify consumer intent and increase performance



WE BRING THE DATA...

Audience targeting helps to improve performance

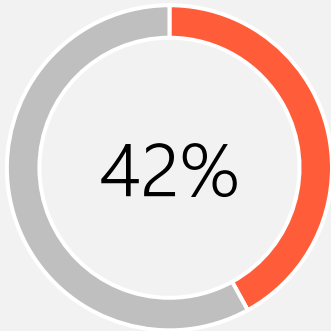
Using any audience targeting results in a 60% higher conversion rate on average¹

1. Microsoft internal data, Global, Search Network; September 2022. Comparison with campaigns with no audience targeting applied.;
2. Microsoft internal data; Global. Audience network, January 2023. Comparison with ad groups not using predictive targeting

AUDIENCE TARGETING FEATURE	PERFORMANCE IMPROVEMENT
In-market audiences	42% Higher conversion rate ¹
Similar audiences	24% Lower cost per acquisition ¹
LinkedIn profile targeting	60% Higher conversion rate ¹
Predictive targeting	46% Higher conversion rate ²
Remarketing	179% Higher conversion rate ¹
Auto-generated remarketing lists	45% Lower cost per acquisition ¹
Dynamic remarketing	164% Higher conversion rate ¹
Customer match	134% Higher conversion rate ¹
Custom audiences	102% Higher conversion rate ¹

WE BRING THE DATA...

In-market audiences



Greater CVR¹

Ads shown to In-market Audiences saw up to a 42% greater conversion rate (CVR) than the same ads shown to non-audience targeted users.

PRODUCT DETAILS

Reach people who are ready to buy

In-market Audiences are curated lists of customers who have shown purchase intent signals within a particular category, including searches and clicks on the Microsoft Advertising Network and page views on Microsoft services.

Bonus: If you're using In-market Audiences on Google Ads, you can get started quickly with our [Google Import for In-market Audiences tool](#).

WHAT IT'S CALLED ON GOOGLE ADS

In-market segments

REQUIREMENTS

None

WHO CREATES AUDIENCE LIST?

Microsoft Advertising

AVAILABLE ON

 Search

 Audience Ads

Seasonal In-market audiences

PRODUCT DETAILS

Reach people who are ready to buy for specific events. Seasonal audiences use the same predictive intelligence as existing in-market audience lists—and are infused with additional signals related to the seasonal event to deliver ads to users who are more likely to convert.

In-market segments

Back-to-School segments

(US, CA)

Seasonal Shopping/Back-to-School
Apparel and Accessories

Mother's Day segment

(US, CA, UK)

Seasonal Shopping/Mother's Day Shopping

Valentine's Day segment

(US, CA, UK, FR, DE, AU, IN)

Seasonal Shopping/Valentine's Day Shoppers

Christmas holiday segments

(US, CA, UK, DE, FR, AU, NZ)

Seasonal Shopping/Christmas Shopping
Seasonal Shopping/Christmas Shopping/After-
Christmas Sale Shopping
Seasonal Shopping/Christmas Shopping/In-Store
Christmas Shopping
Seasonal Shopping/Christmas Shopping/Online
Christmas Shopping

Other Seasonal Segments

Global for advertisers targeting (IN)

Seasonal Shopping/India Independence Day
Seasonal Shopping/Rakhi (Raksha Bandhan) Festival

Black Friday segments

(US, CA, UK, DE, FR, AU, NZ)

Seasonal Shopping/Black Friday Shopping
Seasonal Shopping/Black Friday Shopping/In-Store
Black Friday Shopping
Seasonal Shopping/Black Friday Shopping/Online
Black Friday Shopping

REQUIREMENTS

None

WHO CREATES AUDIENCE LIST?

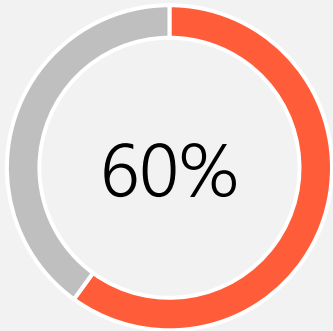
Microsoft Advertising

AVAILABLE ON

 Search

 Audience Ads

LinkedIn profile targeting



Greater CVR¹

Ads shown to LinkedIn Profile Targeting audiences saw up to a 60% greater conversion rate (CVR) than the same ads shown to non-audience targeted users.

PRODUCT DETAILS

Target potential customers based on their LinkedIn profile information

Find the audience you're looking for based on their LinkedIn profile information, including company, industry or job function.

WHAT IT'S CALLED ON GOOGLE ADS

Not available—Unique to Microsoft Advertising

REQUIREMENTS

None

WHO CREATES AUDIENCE LIST?

Microsoft Advertising

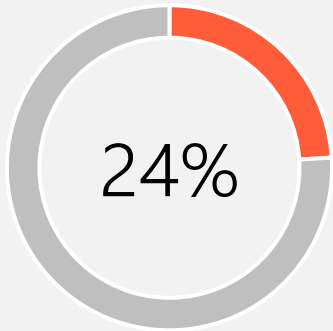
AVAILABLE ON

 Search

 Audience Ads

1. Microsoft internal data; Global, Search network, September 2022. Comparison with campaigns with no audience targeting applied.

Similar audiences



Lower CPA¹

Ads shown to Similar audiences saw up to a 24% reduction in cost per acquisition than the same ads shown to non-audience targeted users.

PRODUCT DETAILS

Reach more of your best customers

Connect with additional users who are similar to your current customers. You define audience segments using your Remarketing lists. We find new customers who are similar to those, giving you an increased pool of potential customers, who are more likely to convert. Simple to set up and quick to get started, Similar Audiences make it easier to find new customers.

WHAT IT'S CALLED ON GOOGLE ADS

Similar segments (which will be deprecated in 2023)

REQUIREMENTS

Requires you to have a remarketing list (which requires a UET tag)

WHO CREATES AUDIENCE LIST?

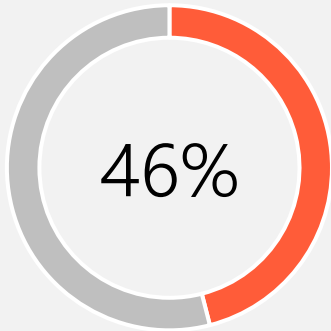
Microsoft Advertising (based on advertiser remarketing list)

AVAILABLE ON

-  Search
-  Audience ads

1. Microsoft internal data; Global, Search network, September 2022. Comparison with campaigns with no audience targeting applied.

Predictive targeting



Greater CVR¹

Ads shown to users using Predictive Targeting saw up to a 46% increase in conversion rate than the same ads shown without predictive targeting.

PRODUCT DETAILS

Deliver the right message at the right time

Predictive Targeting helps you to easily find new audiences that you may not have considered targeting, who are more likely to convert. We take your landing page and ad content and combine it with Microsoft audience intelligence signals to deliver the right ad to the right user.

WHAT IT'S CALLED ON GOOGLE ADS

Optimized targeting

REQUIREMENTS

None

WHO CREATES AUDIENCE LIST?

Microsoft Advertising

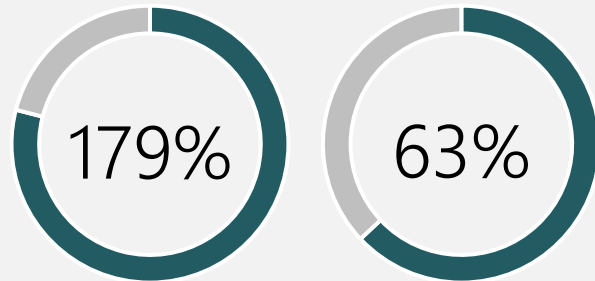
AVAILABLE ON

 Audience ads

1. Microsoft internal data; Global, Search network, September 2022. Comparison with campaigns with no audience targeting applied.

You bring the data...

Remarketing



Greater CVR¹

Lower CPA¹

Ads shown to Remarketing audiences saw up to a 179% increase in conversion rate (CVR) and a 63% reduction in cost per acquisition (CPA) than the same ads shown to non-audience targeted users.

PRODUCT DETAILS

Reengage with audiences who have visited your website

Users who have visited your site are more familiar with your brand and products and are more likely to convert. Returning visitors usually result in higher conversion rates when compared with first-time visitors. Remarketing gives you a second chance to convert or engage with customers to help increase your ROI.

WHAT IT'S CALLED ON GOOGLE ADS

Your data segments

REQUIREMENTS

Universal Event Tracking (UET) tag required

WHO CREATES AUDIENCE LIST?

Advertiser

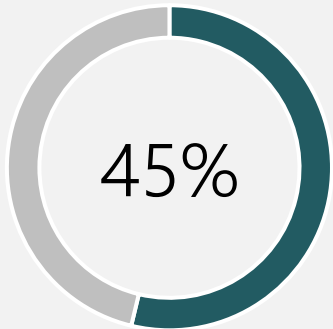
AVAILABLE ON

+ Search

+ Audience Ads

1. Microsoft internal data; Global, Search network, September 2022. Comparison with campaigns with no audience targeting applied.

Auto-generated remarketing Lists



Lower CPA¹

Ads shown to auto-generated remarketing audiences saw up to a 45% reduction in cost per acquisition (CPA) when compared to advertiser-created remarketing lists.

DON'T HAVE TIME TO BUILD YOUR OWN REMARKETING LISTS?

Auto-generated remarketing lists make it easy and fast to get started with remarketing. If you already use remarketing, these list can help you to optimize performance.

There are three types of auto-generated remarketing lists:

- All Visitors—a list of users who visited your site in the past 30 days
- All converters—a list of users who converted within the last 180 days
- Smart Remarketing List—a list of users likely to convert, powered by our audience intelligence and designed to deliver a higher conversion rate.

You can use one, two or all three lists together, and can be used in combination with existing remarketing and audience targeting lists.

WHAT IT'S CALLED ON GOOGLE ADS

Automatically created data segments

REQUIREMENTS

Universal Event Tracking (UET) tag and active conversion goals are required for smart remarketing lists and all converters lists.

Only UET is required for all visitors.

WHO CREATES AUDIENCE LIST?

Advertiser

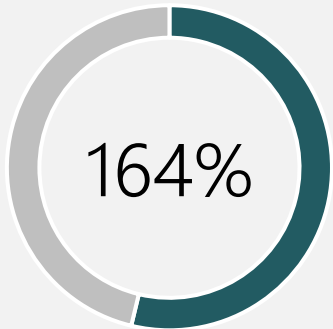
AVAILABLE ON

 Search

 Audience Ads

1. Microsoft internal data; Global, Search network, September 2022. Comparison with campaigns with no audience targeting applied.

Dynamic remarketing



Higher CVR¹

Ads shown to Dynamic Remarketing audiences saw up to a 164% increase in conversion rate (CVR) than the same ads shown to non-audience targeted users.

PRODUCT DETAILS

Reach retail customers with Remarketing for products

Dynamic Remarketing helps you target users and display more-relevant Product Ads. With this feature, you can target users based on specific product IDs they've interacted with to show users ads with those same product IDs

You can also use Dynamic Remarketing in other verticals outside of retail for Audience Ads including Travel, Entertainment and Automotive (currently in pilot)

WHAT IT'S CALLED ON GOOGLE ADS

Dynamic remarketing

REQUIREMENTS

Universal Event Tracking (UET) tag + two new parameters (Page Type + Product ID). Must have a product feed for search and dynamic data feed for Audience Ads.

WHO CREATES AUDIENCE LIST?

Advertiser

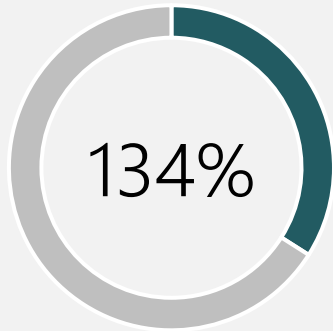
AVAILABLE ON

+ Search

+ Audience Ads

1. Microsoft internal data; Global, Search network, September 2022. Comparison with campaigns with no audience targeting applied.

Customer match



Higher CVR¹

Ads shown to Customer match audiences saw up to a 134% increase in conversion rate (CVR) than the same ads shown to non-audience targeted users.

PRODUCT DETAILS

Email matching helps target your customers online.

Use your own data to target and engage your customers. Customer Match uses information your customers have shared with you, like their email addresses to target your customers on the Microsoft Advertising network.

You can get started with Customer Match in two ways:

- Upload your email lists directly to Microsoft Advertising
- Use your Customer Data Platform to easily import your Customer Match data to use it on Microsoft Advertising

WHAT IT'S CALLED ON GOOGLE ADS

Customer Match (part of Your data segments)

REQUIREMENTS

None, but some restrictions apply in the health and wellness vertical.

WHO CREATES AUDIENCE LIST?

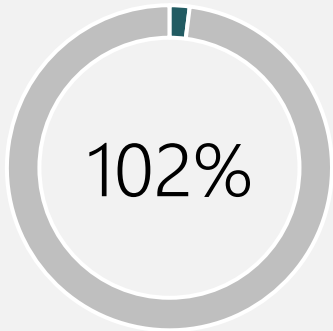
Advertiser (first-party data)

AVAILABLE ON

- + Search
- + Audience Ads

1. Microsoft internal data; Global, Search network, September 2022. Comparison with campaigns with no audience targeting applied.

Customer audiences



Higher CVR¹

Ads shown to Custom audiences saw up to a 102% increase in conversion rate (CVR) than the same ads shown to non-audience targeted users.

PRODUCT DETAILS

Create richer user segments with your own data.

Custom Audiences are Remarketing lists that are generated by using your own customer data to create richer user segments. You can use Custom Audiences in conjunction with Remarketing lists, usually through your data management platform (DMP). You can use Custom Audiences separately from Remarketing, with no UET required.

WHAT IT'S CALLED ON GOOGLE ADS

Customer Match (part of Your data segments)

REQUIREMENTS

Must work with DMP who partners with Microsoft Advertising (Adobe Audience Manager, LiveRamp or Oracle BlueKai).

WHO CREATES AUDIENCE LIST?

Advertiser (first-party data)

AVAILABLE ON

+ Search

+ Audience Ads

1. Microsoft internal data; Global, Search network, September 2022. Comparison with campaigns with no audience targeting applied.

Audience targeting in the consumer decision journey

Consumer decision journeys are no longer linear

As a result, you need to consider the full funnel when targeting your potential customers

26–50%

of buying decisions are now made digitally¹, and consumers have access to more touch points and information before they decide to buy from you.

As an advertiser, you need to connect with customers multiple times throughout their journey, ideally serving the right message at the right time to the right person.

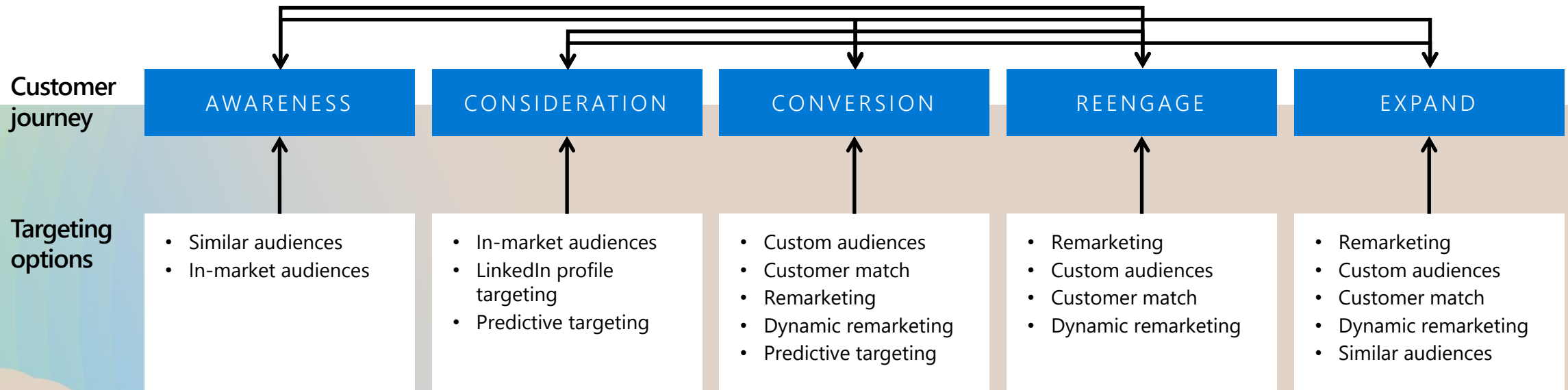
With so many targeting options, how can you tie it back to the decision journey?

1. Impact of the Coronavirus Pandemic on the Digital Buying Journey of Consumers According to US CMOs, Feb 2021 (% of respondents) | Insider Intelligence (emarketer.com)



Reaching your audience across the journey

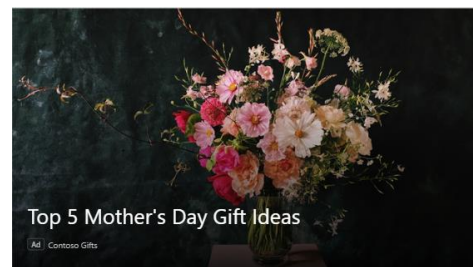
The right tactics to use and when to use them



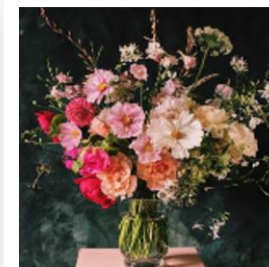
Note: This is a non-exhaustive list of available solutions. Many additional features are available for both the Microsoft Audience Network.

Putting it into practice

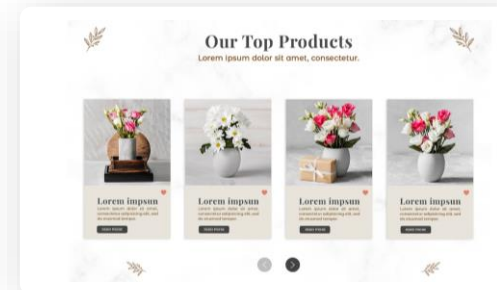
Building up your first party data



Run Audience Ads leveraging broader targeting to get your brand in front of new Audiences. (Reaching new audiences).

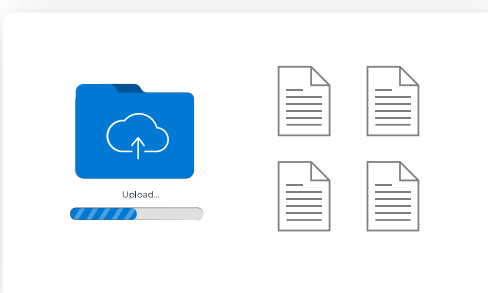


Encourage your customers to sign up to a [newsletter](#) by getting a discount on their next purchase. (Customer is added to remarketing list and customer match list when they share their email).

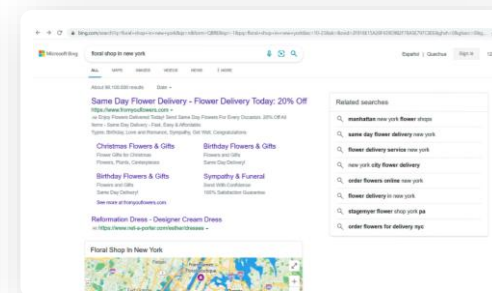


Customer browses on site and views various products.

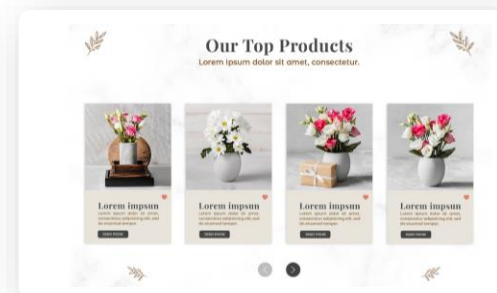
Converting potential customers



Advertiser uploads customer match list and associates it to shopping and feed-based campaigns. Applies a 20% bid modifier to this list.



Customer does some more research on Bing and gets an ad for the product they have viewed in first position on the SERP due to the bid adjustment.



Customer clicks on the product ad and converts.

Audience targeting best practices

Audience Ads

Best practices for Audience Ads

BID ADJUSTMENTS

Apply bid adjustments to your audiences based on importance. We recommend starting with 15-20% and adjusting based on performance. For audiences that are further down the funnel, bid adjustments should be higher.

TARGETING SETTINGS

Ensure that all audiences are set to 'Target and Bid'. This will ensure you only target users that are in the specific audiences lists that you want to target.*

CAMPAIGN STRUCTURE

Each audience type should be split into a different campaign.

CREATIVES

Ensure that your ad copy and creatives are aligned with your target audience, so they resonate and encourage your audience to take action.

*It is not recommended to add audiences to audience ads shopping campaigns. If adding audiences to these campaigns, they should be added in "bid only"

Optimize bid adjustments and ads based on the journey your customers take

ADJUSTING BIDS		CUSTOMIZING ADS...
Increase bids by 50%	Homepage	"Discover new deals"...
Increase bids by 100%	Category page	"25% off today" ...
Increase bids by 150%	Product page	"Limited time offer" ...
Increase bids by 900%	Shopping cart	"Free shipping" ...
Increase bids by 200%	Thank you pages	"Have you tried..." ...

Structuring your campaigns for success

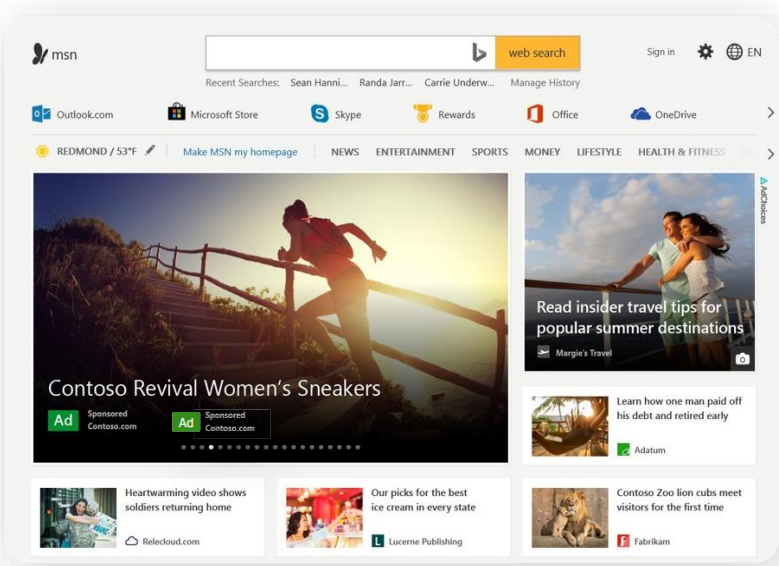
When running Audience Ads, we recommend that you have one campaign for each targeting type.

This will help with ease of management and to achieve your campaign goals more easily.

All audiences applied to these campaigns should be set to “target and bid” in order to tailor your message to your target audience.*



Choosing the best images for your campaigns



Your creative assets are what potential customers see first. Make sure you're curating the most impactful imagery and that your ads resonate with your audience.

Tips for choosing great images

01

Choose photos that your audience can relate to, are **relevant to your ad**, and fit with your brand.

02

Avoid clutter and ensure important visual elements—**particularly people**—are centered in your image assets.

03

Pick **lifestyle photos**, like a woman running, instead of just a picture of a running shoe. Show products being used.

04

Use **multiple images**. We recommend at least 5 images per ad. Rotate in new images regularly to avoid fatigue.

05

Utilize **bright and inviting color palettes**. Vibrant colors will help create focus and interest in your ads.

06

Choose **compelling images**. People shown experiencing an emotion, increase impact.

Audience targeting best practices

Search

Best practices for search campaigns

BID ADJUSTMENTS

Apply bid adjustments to your audiences based on importance. We recommend starting with 15-20% and adjusting based on performance. For audiences that are further down the funnel, bid adjustments should be higher.

KEYWORDS

On search campaigns, consider broader keywords and match types. Broadening your keywords can help you increase traffic and deliver a good return on investment by targeting more qualified audiences.

TARGETING SETTINGS

Ensure your targeting is not too restrictive. Unless you have a specific reason to do so, keep settings to "bid only" to bid up on your audience segments. Add multiple audience segments and leave space for discovery.

CAMPAIGN TYPES

Apply an audience targeting strategy to all your campaigns across Microsoft Advertising. Audiences can be used across search campaigns, shopping, dynamic search ads, and audience ads.

Optimize bid adjustments and ads based on the journey your customers take

ADJUSTING BIDS		CUSTOMIZING ADS...
Increase bids by 50%	Homepage	"Discover new deals"...
Increase bids by 100%	Category page	"25% off today" ...
Increase bids by 150%	Product page	"Limited time offer" ...
Increase bids by 900%	Shopping cart	"Free shipping" ...
Increase bids by 200%	Thank you pages	"Have you tried..." ...

Opportunity: Broad match with audience targeting

Use the following instructions to set up your campaigns to evaluate the performance impact of using broad match with audience targeting:

01

Select your ad groups/campaigns that are using bid only targeting with all (or the majority) of your exact match keywords.

02

Clone the ad group/campaign. We'll call these 'ad group A' and 'ad group B.'

03

For ad group B:

- Associate a target and bid association to your remarketing audience.
- Change all match types to "broad match."
- Keep the same bid as ad group A.

04

For ad group A:

- Modify the original campaign, 'ad group A,' to exclude this remarketing audience.
- Keep the match type as "exact match."
- Keep the bid the same.

Audience targeting market availability

Market availability

In-market audiences

Global (in-market list availability varies per market)

Similar audiences

Global

LinkedIn Profile Targeting

Americas: Argentina, Brazil, Canada, Chile, Colombia, Ecuador, Mexico, Peru, United States

EMEA: Egypt, France, Germany, Nigeria, Saudi Arabia, South Africa, Switzerland, United Kingdom

APAC: Australia, India, Indonesia, Japan, Malaysia, Philippines, Singapore, Taiwan, Thailand, Vietnam

Predictive Targeting

All Audience Ads markets

Remarketing

Global

Auto-generated remarketing lists

Global

Dynamic remarketing

Retail: Global

Autos, Events and Travel (Audience Ads): In pilot in US, CA, UK, DE

Customer match

Americas: Argentina, Aruba, Bahamas, Bolivia, Brazil, Canada, Cayman Islands, Chile, Colombia, Costa Rica, Dominica, Dominican Republic, Ecuador, El Salvador, French Guiana, Guatemala, Guyana, Haiti, Honduras, Martinique, Mexico, Montserrat, Panama, Paraguay, Peru, Puerto Rico, Trinidad and Tobago, United States, Uruguay, Venezuela.

EMEA: Albania, Andorra, Austria, Belgium, Bosnia and Herzegovina, Bulgaria, Croatia, Cyprus, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hungary, Iceland, Ireland, Italy, Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, Monaco, Montenegro, Netherlands, North Macedonia, Norway, Poland, Portugal, Romania, San Marino, Serbia, Slovakia, Slovenia, Spain, Sweden, Turkey, United Kingdom, Vatican City, Kyrgyzstan, South Africa

APAC: Australia, Bangladesh, Brunei, Fiji, French Polynesia, Guam, Hong Kong, India, Indonesia, Japan, Malaysia, Maldives, Mongolia, Nepal, New Caledonia, New Zealand, Pakistan, Papua New Guinea, Philippines, Singapore, Sri Lanka, Thailand, Vietnam

Custom Audiences

Available in all markets except the European Union, Norway, Switzerland and Japan.

Thank you